paid out regularly—quarterly, semiannually, or annually, as the case may be. As earnings grow, the amount will occasionally be increased to bring the pay-out up to the former percentage. This, however, will only be done when a) funds are otherwise available for taking advantage of all the good opportunities for growth that the management is uncovering and b) there is every reason to believe that this new regular rate can be maintained from this time on, after allowing for all reasonable probabilities of a subsequent downturn in the business or the appearance of additional opportunities for growth.

The managements whose dividend policies win the widest approval among discerning investors are those who hold that a dividend should be raised with the greatest caution and only when there is great probability that it can be maintained. Similarly, only in the gravest of emergencies should such dividends be lowered. It is surprising how many corporate financial officers will approve the paying of one-shot extra dividends. They do this even though such unanticipated extra dividends almost always fail to leave a permanent impact on the market price of their shares—which should indicate how contrary such policies are to the desires of most long-range investors.

No matter how wise or foolish a dividend policy may be, a corporation can usually in time get an investor following which likes the particular policy, provided that the corporation follows the policy consistently. Many stockholders, whether it is to their best interests or not, still like a high rate of return. Others like a low rate. Others like none at all. Some like a very low rate combined with a small regular annual stock dividend. Others do not want this stock dividend, preferring the low rate by itself. If a management selects one of these policies in line with its natural needs, it usually builds up a stockholder group which likes and comes to expect the continuation of such a policy. A wise management wishing to obtain investment prestige for its stock will respect that desire for continuity.

There is perhaps a close parallel between setting policy in regard to dividends and setting policy on opening a restaurant. A good restaurant man might build up a splendid business with a high-priced venture. He might also build up a splendid business with an attractive place selling the best possible meals at the lowest possible prices. Or he could make a success of Hungarian, Chinese, or Italian cuisine. Each would attract a following.